EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Rizal is Cagayan's epic town, where Cagayan's epic heroes and legendary figures Biuag and Malana were said to have fought their battle for supremacy over the hand of a beautiful "Maguinganay" (lady) by swapping volleys of uprooted trees and live cattle.

The Municipality is envisioned to be a model for academic excellence, public health and safety, environmental preservation and good governance, providing equal opportunity for all its constituents in a peaceful, friendly atmosphere through a God-centered leadership of the incumbent elected officials.

For CY 2022, the Municipality of Rizal had a total of 167 personnel complement with 67 permanent, 12 elective, 2 co-terminus and 86 job order employees.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Rizal, Cagayan for CY 2022 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

	2022	2021	Increase (Decrease)
Financial Position			
Total Assets	299,901,040.55	224,181,191.97	75,719,848.58
Total Liabilities	130,365,225.36	80,540,649.96	49,824,575.40
Total Government Equity	169,535,815.19	143,640,542.01	25,895,273.18
Financial Performance			
Total Income	143,289,819.88	104,958,606.36	38,331,213.52
Total Expenses	119,664,378.18	96,018,364.74	23,646,013.44
Appropriations, Allotments and Obligations			
Total Appropriations – Current	139,352,933.00	102,535,403.00	36,817,530.00
Total Obligations – Current	127,454,161.73	84,961,737.22	42,492,424.51

The table below presents the fund transfers received by the Municipality from other agencies totaling P23,799,952.58, with comparative figures for CY 2021. There were no funds transferred to other agencies during the year.

	2022	2021	Increase (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	23,689,952.58	21,241,304.52	2,448,648.06
Local Government Units	110,000.00	-	110,000.00
Others	-	-	-
Total	**23,799,952.58**	**21,241,304.52**	**2,558,648.06**

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of the presentation of the financial statements of the Municipality of Rizal for the year ended December 31, 2022 because these are materially misstated by an aggregate amount of P13,424,446.81 on account errors, omission and improper accounting treatment of transactions that are considered as departures from the IPSAS.

Our audit of the financial statements of the Municipality of Rizal disclosed misstatements totaling P13,424,446.81 in absolute value as follows:

Account	Asset	Liability	Revenue/ Expense	Total
Property, Plant, and Equipment	1,362,509.66			1,362,509.66
Inventory	3,121,103.91			3,121,103.91
Advances to Officers and Employees			4,457,219.67	4,457,219.67
Grants and Donations in Kind			3,121,103.91	3,121,103.91
Subsidy to other LGUs			1,362,509.66	1,362,509.66
Total				**13,424,446.81**

As a result, the following accounts in the financial statements of the Municipality of Rizal were misstated as follows:

Account	Understatement	Overstatement	Observation No.
Property, Plant, and Equipment	1,362,509.66		9
Inventory	3,121,103.91		8
Advances to Officers and Employees	4,457,219.67		11
Grants and Donations in Kind	3,121,103.91		8
Subsidy to other LGUs	1,362,509.66		9

D. Summary of Significant Observations and Recommendations

The following are the Audit Team's significant audit observations and recommendations:

1. **Inter-Agency Payables accounts totalling to P19,145,595.49 were not adequately disclosed in the Notes to Financial Statements, thus information contained in the Notes did not adequately provide relevant information in the Statements of Financial Position of the Municipality.**

   We recommended that Management require the Municipal Accountant to disclose adequate information as to breakdown and relevant details of the Inter-Agency Payables in the Notes to Financial Statements for a more comprehensive information on the financial condition of the LGU.

2. **Various COVID-19 vaccines consisting of 2,777 vials amounting to P3,121,103.91 received from the Department of Health for Calendar Year 2022 were not recognized in the books of accounts of the Municipality which resulted in the understatement of the grants and donations in kind and the corresponding inventory and expense accounts for the pertinent year, thus affected the fair presentation of the accounts in the financial statements.**

   We recommended that the Management:

   a. require the MHO and the concerned departments to henceforth furnish the Accounting Office with complete documents relative to the donated COVID-19 vaccines, medicines and other donations-in kind for proper accounting thereof; and

   b. perform an inventory of all the undistributed/undisposed vaccines, if there is any, and recognize as inventories in the books of accounts of the Municipality for fair presentation of account balances in the financial statements in keeping with Paragraphs 27 and 96 of IPSAS 1 and 23, respectively and COA Circular No. 2015-009 dated December 1, 2015.

3. **Several Disbursement Vouchers pertaining to the purchase of two (2) lots totaling to P18,000,000.00 were not supported with complete documentary requirements, hence the validity and propriety of the transactions could not be relied upon.**

   We recommended that the Management submit the lacking supporting documents to strictly ensure the validity, propriety, necessity and regularity on the purchase of the two lots in the amount of P18,000,000.00.

4. **The Municipality realigned funds from Other Maintenance and Operating Expense Fund and Confidential Fund totaling to P500,000.00 to finance the final payment of lot, instead of allotting additional fund specifically for the payment of the lot.**

We recommended that the Management strictly use funds for the specific purpose for which they have been appropriated pursuant to Section 336 of RA 7160 or the Local Government Code of 1991.

E. Summary of Total Suspensions, Disallowances and Charges

There were no Notices of Suspension, Disallowance or Charge issued to the Municipality during the year.

F. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

The status of implementation of prior years' audit recommendations embodied in CY 2021 Annual Audit Report are summarized as follows:

Implemented		24
Not Implemented	7	
Not Implemented and Reiterated in CY 2022 AAR	3	10
Total		**34**